

world. He who understands it, earns it; he who doesn't, pays it." Hopefully, you will be one of the people who earns it.

When you decide to put money into a bank, you are essentially giving that bank a loan. The more money a bank receives from its customers, the more money it can lend out to other customers and make a profit by charging them interest. Because the bank is making money off their loans, they are going to pay you a small bit of money for helping them out. For example, there are some online banks that have savings accounts that will pay out a 2% interest rate⁶ (this is very high, and the majority of banks pay less than 0.5%). This means that if you have \$10,000 and put that money into the bank's savings account, they will pay you \$200 (2% of \$10,000 = \$200) over the course of the first year just for keeping your money in their bank, leaving you with a total of \$10,200. Then, next year, the bank will not only give you another \$200, they will give you 2% of your \$10,200, or \$204.

Table 1.4. Compound interest on \$10,000 at 2% APR over six years

Year	Starting amount	Interest (2%)	Total at end of year
1	\$10,000	\$200	\$10,200
2	\$10,200	\$204	\$10,404
3	\$10,404	\$208	\$10,612
4	\$10,612	\$212	\$10,824
5	\$10,824	\$216	\$11,040
6	\$11,040	\$221	\$11,261

⁶ Interest rates for banks are largely determined by the Federal Reserve, and they change with time, so you can't expect to always get this particular rate.